Business Problem Document

1. Project Overview

The company operates across multiple retail categories but lacks clear visibility into how different customer segments drive revenue. Although overall sales and customer counts are known, leadership needs a focused analysis of purchasing behavior to support data-driven decisions in marketing, retention, and product strategy.

2. Business Problem

Revenue performance varies across customer demographics, product categories, and purchase frequency tiers. However, the business lacks a consolidated view of:

- Revenue contribution by age group and gender
- Category-level performance across customer segments
- The impact of purchase frequency on total revenue
- The relationship between subscription status and customer value

Without this segmentation-level understanding, marketing investments and growth strategies may not be optimally targeted.

3. Business Objectives

The objective of this project is to:

- Analyze customer behavior across demographic segments
- Evaluate revenue contribution by product category
- Assess the distribution of customers across purchase frequency tiers
- Measure subscription penetration within the customer base
- Provide a structured foundation for future revenue optimization strategies

4. Key Business Questions

- Which customer demographics contribute most to total revenue?
- How does revenue vary across product categories?
- What is the distribution of customers by purchase frequency?
- How does subscription status relate to overall customer engagement?
- Which customer segments represent potential growth opportunities?

5. Scope of Analysis

Included:

- Customer demographics (age group, gender)
- Product categories
- Purchase frequency segmentation
- Subscription status
- Revenue and transaction data
- Customer review ratings

Excluded:

- Cost and profit margin analysis
- Operational performance metrics
- Supply chain and inventory analysis
- External market or competitor data

6. Success Criteria

The project will be considered successful if it:

- Provides clear visibility into customer segment performance
- Identifies measurable revenue contribution by segment and category
- Establishes a data-driven baseline for strategic decision-making
- Enables stakeholders to prioritize high-impact customer groups

7. Deliverables

- Interactive Customer Behavior Dashboard
- Structured Analytical Summary which includes Business Recommendations
- Presentation / Slides